

The Chief Executive Officer,
Nairobi Securities Exchange,
55 Westlands Road,
Westlands, Nairobi.

April 28th, 2015

Dear Sir/ Madam;



JKIA - AIRPORT TRADE CENTRE
P.O. Box 40433 - 00100, Nairobi, Kenya
Telephone: (020) 3002371 - 5, Fax: 3002903
Mombasa Branch:
P.O Box 90631, Tel: (041) 2312461-5
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Mombasa

RE: PUBLICATION OF THE COMPANY'S ACCOUNT FOR THE YEAR ENDED 31ST DECEMBER 2014

In line with section 19 of the Capital Markets (Securities) (Public Offers, Listing and Disclosures) (Amendment), the board is pleased to announce the audited results and financial statements for the year to 31st December 2014.

The said accounts are set to appear in the Daily Nation and the Standard newspapers tomorrow (29th April 2015) and shall read in part as follows.

Basis of preparation

The financial statements have been prepared on the historical cost basis in accordance with International Financial Reporting Standard (IFRS) and the accounting policies have been Consistently applied to all the years presented.

Audit opinion

The financial statements were approved by the board on 24 April 2015. They were audited by PKF Kenya and have received an unqualified opinion.

Performance

The group has been going through a period of business instability due to the loss of key contracts and as a result the earnings for the year ended 31 December 2014 have declined. The Board is in the process of diversification into the real estate sector as discussed at the Company's Annual General Meeting held last year.

Future outlook

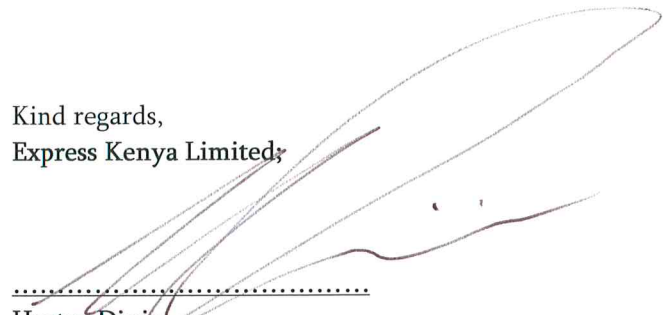
The directors have commenced on plans to develop the group's land into a real estate development.

This development will be carried out over four phases with the first phase expected to commence in mid 2015.

Dividend

The directors do not recommend the declaration of a dividend for the year.

Kind regards,
Express Kenya Limited;



Hector Diniz
Chief Executive Officer

Cc: The Chief Executive Officer - Capital Markets Authority

**CONSOLIDATED STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED 31 DECEMBER 2014**

	2014 Shs '000	2013 Shs '000
Revenue	173,033	387,494
Direct costs	<u>(141,185)</u>	<u>(323,440)</u>
Gross profit	31,848	64,054
Other operating income	164	15,469
Administrative expenses	(53,008)	(48,793)
Other operating expenses	<u>(41,280)</u>	<u>(24,412)</u>
Operating (loss)/profit	(62,276)	6,318
Finance costs	<u>(14,159)</u>	<u>(8,014)</u>
(Loss) before tax	(76,435)	(1,696)
Tax (charge)/credit	<u>(917)</u>	<u>1,925</u>
(Loss)/profit for the year	<u><u>(77,352)</u></u>	<u><u>229</u></u>
Other comprehensive (loss)/income:		
- Revaluation surplus on property, plant and equipment	84,348	-
- Deferred tax on revaluation surplus	<u>(25,305)</u>	<u>-</u>
Total other comprehensive income:	<u>59,043</u>	<u>-</u>
Total comprehensive (loss)/income for the year	<u><u>(18,309)</u></u>	<u><u>229</u></u>
(Loss)/profit for the year is attributable to:		
- Owners of the company	<u><u>(77,352)</u></u>	<u><u>229</u></u>
(Loss)/earnings per share		
Basic and diluted per share	<u><u>(Shs -2.18)</u></u>	<u><u>Shs 0.01</u></u>

**CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2014**

	2014 Shs '000	2013 Shs '000
At start of year	(9,594)	(5,404)
Net cash (used in)/from operating activities	(84,552)	16,716
Net cash from investing activities	21,456	13,235
Net cash from/(used in) financing activities	23,279	(34,203)
Effect of exchange rate changes	<u>(277)</u>	<u>62</u>
At end of year	<u><u>(49,688)</u></u>	<u><u>(9,594)</u></u>

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER				
Group		Company		
2014	2013	2014	2013	
Shs '000	Shs '000	Shs '000	Shs '000	Shs '000

ASSETS

Non-current assets
Current assets

TOTAL ASSETS

EQUITY AND LIABILITIES

Share capital
Share premium
Reserves

Shareholders' funds

Non-current liabilities
Current liabilities

Total liabilities

TOTAL EQUITY AND LIABILITIES

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2014

	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Retained earnings/(deficit) Shs '000	Total shareholders funds Shs '000
At start of year	177,019	10,502	85,061	(74,066)	198,516
(Loss) for the year	-	-	-	(77,352)	(77,352)

Other comprehensive income for the year:

Revaluation surplus on property, plant and equipment	-	-	84,348	-	84,348
Deferred tax on revaluation surplus	-	-	(25,305)	-	(25,305)

Total comprehensive income for the year

Transfer of excess depreciation

Deferred tax on excess depreciation transfer

At end of year

-	-	-	735	(735)	-
177,019	10,502	142,389	(149,702)	180,208	

Basis of preparation

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Audit opinion

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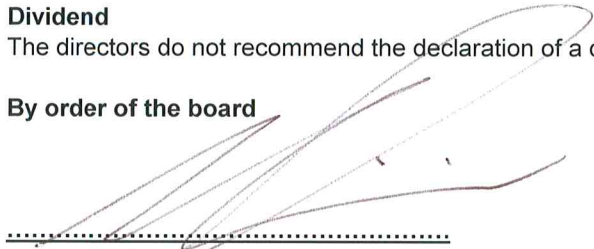
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Dividend

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By order of the board


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Hector Diniz
Chief Executive Officer